

HALF-YEAR ECONOMIC AND FISCAL UPDATE OF 2022

MINISTRY OF FINANCE AND ECONOMIC MANAGEMENT

Fiscal Responsibility

This Half-Year Economic and Fiscal Update has been prepared pursuant to Section 15, Part 1 of the Public Finance and Economic Management Act. The document has been prepared in compliance with the principles of responsible fiscal management as specified in the Act.



Hon. Johnny Koanapo Nies RASOU (MP)
Minister
Ministry of Finance and Economic Management



Mr. Letlet August
Director General
Ministry of Finance and Economic Management

OVERVIEW

As the global economy enters the third year of the pandemic, COVID-19 retains its nature as being both a public health and an economic crisis. While governments continue to invest in vaccination rollouts worldwide, they are also pressured to deal with the economic repercussions of the pandemic, at the center of which is inflation. The global economy entered 2022 in a weaker position than previously expected as reported by the International Monetary Fund (IMF) in its April 2022 World Economic Outlook (WEO) projecting growth for both 2022 and 2023 at 3.6 percent. These are downward revisions from the January 2022 WEO of 4.4 percent and 4.8 percent, respectively. On the one hand, even though the relevant authorities are determined to control the spread of the virus, the longer that vaccination is delayed, the more chances that the virus has of mutating, in turn demanding even more resources to combat it. On the other hand, and in addition to being triggered by the supply-chain disruptions of the pandemic, inflation remains elevated for longer than previously estimated, driven by the war-induced commodity price increases and broadening price pressures. The downgrade in global economic forecast largely reflects the war's direct impacts on Russia and Ukraine and global spill overs by way of uncertainty in geopolitics, commodity prices, and financial markets.

Against the backdrop of continuing to battle with the pandemic in respective jurisdictions, Pacific Island Countries (PICs) as small open economies have not been immune to the aforementioned spill overs. Among other factors, international trade has served as a medium for supply shortages and imported inflation (elevated commodity and energy prices) which have to some extent stunted economic growth. The region is nonetheless set to continue to recover as reflected in the ADB's growth projection for PICs at 5.2 percent in 2022 and 5.3 percent in 2023. Consistent with such a recovery phase, the region's inflation rate is forecast to rise to 3.7 percent in 2022 and then recede to 3.1 percent in 2023. Amidst these developments, monetary authorities are remaining vigilant.

In its second-quarter 2022 meeting, the Macroeconomic Committee (MEC) upgraded its growth forecast for 2022. From the first-quarter estimate of 3.0 percent, the forecast was revised up to 3.6 percent – reflecting mainly the economy-wide benefits of border re-opening – to be followed by accelerated growth of 5.0 percent in 2023. Over the medium term (2023 – 2026), growth is projected at 4.0 percent on average. This is driven by the recovery in the tourism sector as well as the implementation of public infrastructure projects. The main upside risks that would result in the realization or outperformance of the projections include the borders remaining open to tourists, successful vaccination efforts, implementation of the second and third phases of the economic stimulus package, the Special COVID-19 Banking Facility, and planned cruise ship tourism resuming in the latter part of 2022. On the downside, if left uncontrolled, factors which could prompt an underperformance of the economy are community outbreaks of another COVID-19 variant, labour drain, inflation, severe weather conditions, high air transportation costs, and low access to credit. Vanuatu must consider lessons learned from the experience of its regional neighbours on border reopening and economic policy design amidst current crises whilst continuing to exercise prudent fiscal management.

The Government's total net operating balance including donor financing stands at VT 133.2 million while net operating balance excluding donor financing was a deficit of VT 1,166.3 million at the end of June. Over the first half the year, expenses exceeded revenue. Government receipts over the first half of this year have been compromised by the COVID-19 community transmission which have induced business closure, lower employment and slower consumption. Government revenue excluding donor financing recorded VT 13,899.5 million at the end of June, which is 13.9 percent lower than the forecast of VT 16,151.3 million for the first six months of this year. Major revenues such as VAT, Tax on international trade and transactions, excise tax, and honorary citizenship programs have fallen short of their budget target at the end of June this year.

In contrast, Government expenses recorded a total of VT 15,098.8 million over the first half of this year, which is 1.5 percent higher than the forecast of VT 15,323.3 million for the first six months of this year. Among other factors,

the temporary suspension of lower-value procurement requirements also contributed to this budget target achievement.

WORLD ECONOMIC OUTLOOK

On account of this being the third year of the pandemic, further exacerbated by the waging Russia-Ukraine war, the global economy is projected to slow down from an estimated 6.1 percent in 2021 to 3.6 percent in both 2022 and 2023. The 2022 and 2023 growth have been revised downward by 0.8 and 0.2 percentage points, respectively, from the January 2022 WEO. Beyond 2023, the global economic growth is forecasted to decline to 3.3 percent over the medium term. Inflation is expected to remain elevated for longer than previously forecast, driven by war-induced commodity price increases and broadening price pressures. For advanced economies, this is estimated to be 5.7 percent in 2022, with emerging markets and developing economies bearing the brunt at 8.7 percent inflation. The projections have been revised upwards from the January WEO by 1.8 and 2.8 percentage points, respectively. These have been the consequences of the supply-demand imbalances, stemming from the war, which have been driving up commodity prices. Coupled with rising inflation expectations and stronger wage growth, the risk of persistently higher inflation exists. For middle and low-income countries, two strong and opposing forces are at play. On the one side, war-induced inflation is demanding resources to help prevent it from worsening. On the other hand, the COVID-19 pandemic has warranted receipt of aid from foreign development partners, which may or may not be sufficient to offset the downfalls from both COVID-19 and the war.

Table 1: Summary of World Economic Outlook (WEO) Growth Projections by Economic Revision (as at April 2022)

	World Economic Outlook								
	2019	2020	2021	2022	2023	2024	2025	2026	2027
World Output	2.9	-3.1	6.1	3.6	3.6	3.4	3.4	3.3	3.3
Advanced Economies	1.7	-4.5	5.2	3.3	2.4	1.7	1.7	1.6	1.6
Euro Area	1.6	-6.4	5.3	2.8	2.3	1.8	1.6	1.5	1.3
USA	2.3	-3.4	5.7	3.7	2.3	1.4	1.7	1.7	1.7
Japan	-0.2	-4.5	1.6	2.4	2.3	0.8	0.7	0.5	0.4
China	6.0	2.2	8.1	4.4	5.1	5.1	5.0	4.9	4.8
Emerging markets and Developing Economies	3.7	-2.0	6.8	3.8	4.4	4.6	4.5	4.4	4.3

Source: International Monetary Fund April 2022 WEO

Growth in the advanced economies has been projected at 5.2 percent in 2021, 3.3 percent in 2022, and 2.4 percent in 2023. The 2022 and 2023 forecasts have been revised downward by 0.3 and 0.2 percentage points respectively. While general economic recovery from the pandemic remains a primary goal, inflation has stolen focus for many of the advanced economies, including the United States, and some European countries for whom the rate has reached the highest level they have been in more than 40 years. As central banks tighten monetary policy in advanced economies by increasing interest rates, emerging markets and developing economies could in response face further withdrawals of capital and currency depreciation which would drive inflation even higher.

In the emerging markets and developing economies, growth estimates for 2021, 2022, and 2023 are 6.8 percent, 3.3 percent, and 2.4 percent, respectively. As this economic region's giant, China's subsequent COVID-19 waves and lockdowns have meant key manufacturing hubs' operations have had to be sporadically suspended causing bottlenecks in global supply chains. Countries within the emerging markets and developing economies continue to face increases in food and fuel prices that significantly increases the risk of social unrest. Overall, the war and the impending increase in global interest rates will further reduce fiscal space in many countries, especially oil-importing and food-importing emerging markets and developing economies. The inflation forecast for 2022 is projected at 8.7 percent, which is 2.8 percentage points higher than the January 2022 WEO estimate.

The current economic environment necessitates strategic coordination of both monetary and fiscal policy. Central banks with access to robust and abundant datasets are in a better position than others when it comes to setting evidence-backed monetary policy that target inflation. Fiscal policy, on the other hand, should depend on each economy's exposure to the impact of the war, the stage of the pandemic, and the strength of the recovery. It is also believed that beyond the immediate challenges of the war and the pandemic, policy should not lose sight of longer-term goals. On climate, advanced economies must continue to make real progress toward their COP26 climate summit pledge. Emerging market and developing economies must extend their ambitions to reduce emissions. As the pandemic is still not over, governments must use all tools at their disposal to combat the virus, both by meeting vaccination targets and by ensuring equitable access to tests and treatments.

REGIONAL ECONOMIC OUTLOOK

According to the Asian Development Outlook for April 2022, the overall growth of Developing Asia¹ (Asia and Pacific) is estimated at 6.9 percent in 2021 and is expected to continue to remain elevated at 5.2 percent and 5.3 percent in 2022 and 2023 respectively. The region continues to recover from the social and economic impacts of the pandemic amid negative spillovers from the Russia-Ukraine war. In competition with other policy objectives, expansionary fiscal policy via public spending on counteractive measures against the pandemic has further constricted the fiscal space for the region's economies. This has made it even more challenging for policymakers to mobilize sufficient revenue to sustain development. On the upside, solid exports and strong demand are expected to keep the region's growth strong in 2022 and 2023. The region's inflation rate is forecast to rise to 3.7 percent in 2022 and only recede slightly to 3.1 percent in 2023 as the economic recovery continues. Elevated energy and commodity prices outside the region's control allude to the need for monetary authorities to closely monitor and employ the appropriate policy responses to counteract inflation.

After two years of recession, growth in the Pacific² alone is expected to accelerate to 3.9 percent in 2022 and 5.4 percent in 2023. Despite remaining a considerable challenge, the increased vaccination rates have allowed a few of the PICs to recover relatively faster than others from the impacts of the pandemic. As a prerequisite for border reopening, vaccination has boosted confidence enough to relax travel restrictions in Fiji and other tourism-dependent economies like the Cook Islands and Palau. Growth for such countries has been upgraded further as a result. Recovery in Papua New Guinea was fuelled mainly by the mineral sector while the Solomon Islands is expected to contract in 2022 following recovery from the dual crises of the COVID-19 community transmission and civil unrest. Even though all member PICs are still battling the pandemic, characteristic differences have given rise to mixed results in terms of economic forecasts for the current year and the medium term.

Both the Australian and the New Zealand economies have managed to recover whilst still aggressively battling the pandemic. The Australian economy rebounded during the fourth quarter of 2021, following the easing of containment measures as the labor market remains resilient. Moreover, Inflation accelerated from 0.9 percent in 2020 to 2.9 percent in 2021, the highest rate in 10 years. However, robust growth is projected for 2022 supported by accommodative financing conditions, accumulated savings, and the easing of COVID-19 restrictions.

¹ Developing Asia includes all 46 member countries of the Asian Development Bank (ADB)

² The 'Pacific' comprises the Cook Islands, the Federated States of Micronesia, Fiji, Kiribati, the Marshall Islands, Nauru, Niue, Palau, Papua New Guinea, Samoa, the Solomon Islands, Tonga, Tuvalu, and Vanuatu

Table 2: Real GDP (year-on-year change; percent)

	2017	2018	2019	2020	2021	2022	2023
Developing Asia	6.2	6.0	5.0	-0.8	6.9	5.2	5.3
The Pacific	4.0	1.0	3.1	-6.0	-0.6	3.9	5.4
Cook Islands	6.8	8.9	5.3	-5.2	-29.1	9.1	11.2
Fiji	5.4	3.8	-0.4	-15.2	-4.1	7.1	8.5
Papua New Guinea	3.5	-0.3	4.5	-3.5	1.3	3.4	4.6
Solomon Islands	5.3	3.9	1.2	-4.5	-0.5	-3.0	3.0

Source: Asian Development Outlook April 2022

The region's economies urgently need to mobilize fiscal resources to restore the health of public finances after COVID-19 passes, and to build a more inclusive and sustainable future. While more efficient spending can free up some fiscal resources, much more is needed to be able to effectively advance inclusive development. Fiscal policy remains supportive, even after substantial loosening to cushion the impact of COVID-19 in 2020 and 2021, but authorities are looking forward to unwinding pandemic emergency measures and gradually shifting to fiscal consolidation in 2022-23.

VANUATU ECONOMIC OUTLOOK

Real Sector Update

The 2020 National Accounts recently released by the Vanuatu National Statistics Office reported that the Vanuatu economy suffered a recession of 5.0 percent in 2020. The main contributing factors have been the dual disasters of Tropical Cyclone (TC) Harold and COVID-19 which saw Vanuatu completely shutting off its borders to international tourists since March of the same year. This is much lower than the -2.6 percent estimated for 2020 in the third quarter of 2021. The Services sector suffered the most with a -6.7 percent growth, mainly driven by the decline in tourism-related services, while the Agriculture, Fishing, and Forestry sector registered a -1.4 percent growth where all its subsectors registered a negative growth as a result of damages inflicted by TC Harold and COVID-19 supply chain disruptions. The Industry sector performed well that year registering a 4.0 percent growth driven mainly by construction developments. Over more than 2 years that the borders remained closed, the government and its development partners have been designing and enforcing policy priorities to provide extensive support to the country's economic sectors in the form of financial support and aid-in-kind. The government's main response comprised employment stabilization payments, small and medium enterprises grants, and productive sector financial support that have all contributed well towards keeping the economy from experiencing a turnout much worse than it did. The government's expansionary fiscal policy has stimulated the economic activities in especially tourism-related sub-sectors while simultaneously sustaining revenue collection during the pandemic. The government's financial support for recovery is still ongoing, however, the relevant policies are now geared toward long-term recovery aimed at reinforcing the economy's resilience and sustainability. As such, the soft reopening of the international borders from the 1st of July 2022 has brought much excitement to the business community driving economic growth projections to 3.6 percent in 2022 – 0.8 percentage points higher than the 2021 estimate – with a strong rebound forecast for 2023 at 5.0 percent, and 4.7 percent in 2024.

Table 3: Growth in Real Gross Domestic Product (percentage change)

Vanuatu Economic Outlook										
	Actual			Estimate	Forecast					
	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Real GDP Growth (2006 prices)	2.9	3.9	-5.0	2.8	3.6	5.0	4.7	3.2	3.0	2.6
Agriculture, Fishing and Forestry Sector	0.9	4	-2.7	2.3	3.0	4.7	3.7	3.3	3.1	2.3
Industry Sector	4.9	9.8	4.0	10.3	14.6	13.6	10.7	4.0	3.4	3.4
Services Sector	0.8	3.3	-6.7	2.1	2.3	3.5	3.6	2.8	2.6	2.1

Source: National Statistics Office and Macroeconomic Committee (MEC) 2 2022 Estimates

The Agriculture, Fishing, and Forestry Sector is projected to grow by 3.6 percent in 2022 and 4.7 percent in 2023 despite slow activity over the first six months of this year. Crop production is expected to remain strong in 2022 driven by stable and high commodity prices for especially copra, kava, coffee, and cocoa. Animal production is expected to remain strong, driven by an anticipated pickup in demand for beef as more visitors arrive over the second half of the year. Local timber production has become more competitive in recent years as imported timbers became relatively more expensive due to higher freight charges. Accounting for the supply-chain disruptions and inflation rates that are expected to persist over the remainder of this year and part of next year, production is expected to remain high in 2022-23. Fish production is projected to remain high as border reopening will allow more regular air exports and raise the demand on local fishermen to increase production to supply hotels and restaurants. The industry sector has to date been mainly driven by construction activities, the bulk of which has historically been public infrastructure projects. The sector is expected to grow by 14.6 percent in 2022 and 13.6 percent in 2023. The implementation of both new and delayed government projects will be complemented by private businesses and household construction and even the repairs and maintenance of resorts. A resurgence in manufacturing is on hand, reflecting the revival of coconut oil production after TC Harold's destruction of the country's only copra-pressing facility in 2020. Electricity and water demand is expected to increase in correlation with visitor arrivals as well as projects such as the Brenwei Hydro and the extension of the Santo Hydro which would both accommodate new customers and induce new investments. A solid rebound in the services sector is expected following the soft border reopening from July 1st, 2022. Projections thus stand at 2.3 percent in 2022 and 3.5 percent in 2023. Over the medium term, the services sector is expected to remain healthy as long as visitors are permitted to enter the country.

Despite healthy economic growth projections, risks surrounding the forecast remain. The higher freight costs and shipping route changes have affected Vanuatu's international trade in recent months resulting in an increasing backlog of inventory of products waiting to be imported from the rest of the world and also exported from Vanuatu. Consequential shortages, coupled with international shipping lines raising their freight, have resulted in imported inflation in the domestic economy. The higher inflation, projected at 4.2 percent in 2022, is driven mainly by the increase in fuel and food prices and will negatively affect consumers and industries by narrowing profit margins and potentially delaying new investment plans. Against a backdrop of climate change impacting Vanuatu through a higher severity and frequency of natural disasters, major risks such as poor weather patterns, capacity constraints of implementing agencies, and a subsequent COVID-19 community outbreak, could delay the implementation of infrastructure projects. Also gradually becoming more pronounced is the labour drain to labour mobility schemes in Australia and New Zealand which are leaving a dent in Vanuatu's economic output. Even though border reopening is expected to bring much good, there is also the risk that another COVID-19 variant is allowed to enter the country and also trigger another outbreak. Given these risk, it is imperative that the relevant authorities, and especially tourism operators, at the national and provincial levels complete contingent and risk management plans to guide operations within their respective jurisdictions in the event of a future outbreak.

Agriculture, Fisheries, and Forestry Sector

Developments in this sector have continued to remain healthy throughout the pandemic. The sector is estimated to grow by 4.2 percent in 2021 and 2022 before strengthening further to 4.8 percent in 2023. Solid growth projections reflect ongoing commitment towards the sector by the national government and its development partners alike.

Among others derived from respective sectoral development plans, programs targeting the sector include COVID-19 and TC Harold recovery programs, and the 11th European Development Fund (EDF). The community outbreak and subsequent 2 months of lockdown have caused many delays in the implementation of some of these programs, however, the relevant agencies are determined to make better progress over the remainder of the year.

Crop production remains the driver and bearer of the most weight in this sector. The Vanuatu National Statistical Office's Quarterly Statistics Indicators (QSI) for the last quarter of 2020 reported some outperformance of forecasts previously made for this subsector. In 2021, by value, most commodity exports such as copra, cocoa, and coffee increased, while kava, coconut oil, and vanilla production declined. Crop production alone is forecasted to grow by 4.2 percent in 2022 and 4.8 percent in 2023. The 11th EDF program continues to support the farmers' production and access to the market of fruits and vegetables throughout the country. Enticed by the persistent increase in export prices, copra production continues to rise. Similarly, cocoa production remains stable and is expected to remain so over the projection period. The establishment of small-scale local chocolate factories, and more information-sharing on success stories, have been and will continue to motivate cocoa farmers to raise, improve, and sustain production in the long run. Even though there was a decrease in coffee production in 2021, a rebound and strong growth are expected from 2022 onwards. There has been an increasing number of buyers driving domestic prices upwards by VT20 to VT280 per kilogram of dried beans, however, the domestic level of production still falls short of foreign demand for coffee. Partial indicators show a decline in the value of kava exported in 2021 where the reduction in international flights and changes to international shipping routes to Santo could have been a factor. The government continues to support the program in terms of distributing planting materials as well as supporting export programs to new international markets. There is a growing demand for Vanuatu kava overseas in countries such as the USA, Australia, and New Zealand signalling further growth in exports in the future. A sticky purchase price for dried chips domestically in the range of VT 2,000 – VT2,500 per kilo, and even lower in remote areas, has been disincentivizing farmers. Nevertheless, domestic consumption continues to remain stable. Finally, spices such as pepper, ginger, and vanilla are other high-value organic products that are unfortunately underdeveloped but still possess a high potential for success in the export market.

Cattle production is dominated by beef, having performed better than expected in 2021 according to partial indicators. Beef production is estimated to grow by 4.6 per cent in 2021 before moderating to 2.2 per cent in 2022 and rebounding further by 3.4 percent in 2023. There has been a brief disruption to production during the two months of lockdown in March and April, impacting production in the first half of 2022. Nevertheless, a turnaround in demand is expected in the second half of the year, bolstered by tourism recovery. Although data gaps exist by way of not accounting for rural butcheries' production, there is increasing competition in the industry over recent years in line with the increase in the number of butcheries in urban centers. Export prices have remained stable over the years while domestic retail prices have been on an upward trend for the past years as a result of growing domestic demand, mainly in urban centers. As part of the Government's efforts to restock cattle up to 2030, commercial farmers in Santo have been focussing on supplying the needed stock to other islands while the ban on slaughtering heifers still holds, both of which have been constricting the supply to butcheries. Livestock support programs from the 70-30 and 60-40 subsidy programs also continue to target farmers in rural areas, but more broadly associations and cooperative farmers. Piggery and poultry still retain the potential of further improving food security not only in the rural areas but also in the growing urban centers.

The majority of domestically-produced timber has been for domestic consumption with only a handful of companies producing on a commercial scale for exports to niche markets in New Caledonia, China, and Japan. The QSI reported a surge in timber production levels in 2021 motivating upward revisions to 13 percent and 7.5 percent growth for 2022. While the QSI focuses only on exported timber, there has otherwise been an increase in demand for locally-produced compared to imported timber on account of the price differential. Imported timber has recently become more expensive due to the simultaneous increases in both the price of timber as well as freight. Tree replanting continues, albeit on a small scale, but efforts are not well-coordinated towards commercial forestry farms. Aside from this, sandalwood production increased in 2021 and is expected to remain high in 2022. Sandalwood

buyers confirm a surge in production mainly in TAFEA province where sandalwood has become a high source of income during the pandemic. The sector is expected to continue to maintain an average growth rate of 3.6 percent over the projection period.

Fish production is projected at 3.9 percent in 2021 and 5.9 percent in 2022. Fish export has remained stable during the pandemic and is expected to remain so over the projection period (2023 – 2027) with growth forecast at 7.0 percent on average. Better coordination of inter-island trade through cooperatives and fishermen's associations, as well as the government's subsidies, have boosted fish production domestically and incentivized a considerable number of fishermen to upgrade to commercial fishing. The persistent increase in the price of fuel will likely drive the domestic retail price of fish upwards. With the borders reopening, despite the likelihood of prices increasing further, domestic fish supply will likely increase to satisfy tourists' demand.

In terms of risk, a significant factor undermining the success of the sector is the labour drain to seasonal employment in Australia and New Zealand.

Industry Sector

The industry sector has consistently outperformed other sectors in terms of contribution to growth with an average growth rate of approximately 7.9 percent from 2015 to 2020. The sector is expected to register a 10.7 percent growth in 2021, and then accelerate to 14.6 percent and 13.6 percent in 2022 and 2023 respectively. The sector has and will continue to be driven by government infrastructure investment as reflected in the trajectory of the construction subsector, strongly correlated with electricity and water developments. Manufacturing, on the other hand, has remained moderate over the years, despite the substantial amount of challenges faced such as the high cost of doing business, weak access to credit, and the lack of technical capacity.

Manufacturing sub-sectoral growth is estimated at just 0.8 percent in 2021 before registering a more robust growth of 2.5 percent in 2022. The combined impacts of TC Harold and COVID-19 in 2020 have dragged this subsector's growth down by 17.4 percent with the greatest destruction occurring on the island of Santo where most domestic industries are located. Coconut oil production has resumed in Santo with an expected increase in production in 2022-23. Additional investments in coconut oil production by one particular copra exporter before year-end will surely boost growth over the medium term. In terms of kava, the government's support of value-addition has encouraged more processing of kava powder in especially Vila and Santo. The return of visitors will also boost demand for Vanuatu's handicrafts in the second half of 2022 which should continue to expand from 2023 onwards. Furthermore, there have been increasing efforts through the Cooperatives and Industries departments to encourage food processing through the 11th EDF program. Although there have been challenges in achieving the targeted objectives during the lockdown, the departments remain optimistic about the relevant program's success over the medium term.

Demand for electricity and water remained low during the international border closure. In the absence of tourism arrivals in 2021, growth was estimated at 0.8 percent before expanding by 2.5 percent in 2022. The upward revision over the medium term reflects the increase in demand driven by the return of visitors that will have other spillover effects on the rest of the economy starting from the second half of 2022. Developments in the sector, including the installation of a mini-hydro power station at Talise on the island of Maewo, have been completed with others like that for Brenwei are still in progress. Those yet to commence include the Sarakata hydropower project earmarked for the end of 2022 with the extension of the grid from turtle bay to Port Olry on the east coast of Santo. The projects will directly add more consumers, but also induce investments of varying scales which would offer more employment. Growth is projected at 6.0 percent in 2023 and expected to average at 3.7 percent over the medium term.

The impressive 18.2 percent growth in 2020 highlights the construction subsector's dominance within the Industry sector. In line with the high volume of government infrastructure investment programs, construction is estimated to maintain a high growth rate of 18.1 percent in 2021 as indicated by the high value of imported construction materials

in that year. Several projects that have been delayed in the past years are now in their construction phases such as the Pentecost road, the Ministry of Finance and Economic Management building, the Ministry of Foreign Affairs, and the Hall of Justice. Both the Tanna road phase 3 and Malekula road phase 2 road are in progress, all of which are expected to drive up growth to 22.9 percent in 2022. Vanuatu's development partners are complementing the government's efforts well through major projects such as the Vanuatu Infrastructure Reconstruction and Improvement Project (VIRIP), Project Preparatory Financing, Vanuatu Energy Access Project, Luganville Water Supply Project, Cooks and Tiroas Barracks Refurbishment, Supreme Court Hall of Justice and the Vanuatu Climate Resilient Transport Project. Additionally, the Vanuatu Government will finance projects such as the Norsup Airport, feeder road construction and maintenance throughout the country, Ambae road, and Tanna road phase 3. By weight of contributions to the resources envelope for public infrastructure, the highest financier is the World Bank Group, followed by the Chinese Government, and then the Asian Development Bank and the Vanuatu Government. Given that there are several projects in the pipeline, construction is projected to grow at 18.5 percent in 2023 and remain strong at 6.4 percent on average over the medium term.

In all, the industry sector, more specifically the construction subsector, continues to stand out as the dominant driver of GDP growth. The Industry sector has been the fastest-growing sector over the last five years to date. Unless there are substantial policy changes, this trend is expected to continue over the medium term.

Services Sector

A much stronger performance is expected in the second half of the year despite a sluggish start rooted in the COVID-19 community outbreak that saw two months of lockdown in March and April 2022. The reopening of the border in the second half of 2022 will boost the overall growth projection to 2.3 percent from a 2.1 percent growth estimated for 2021, after a huge dive in 2020 of -6.7 percent from the combined impacts of COVID-19 and TC Harold. The return of visitors will boost tourism-related services with growth expected to pick up momentum to 3.2 percent in 2023 and 3.6 percent in 2024. Risks surrounding the outlook remain, including high inflation, further COVID-19 outbreaks, and supply-chain disruptions to imports.

Retail trade is one of the key subsectors in the services sector which closely reflects domestic consumption patterns. Retail trade is expected to register a 1.0 percent growth in 2022 consistent with an increase in demand in the second half of the year from visitor arrivals. A rebound in domestic demand is expected in 2022-23 supported by a rise and stability in commodity prices for copra, coffee, cocoa, and kava. The increase in remittances is another push factor raising demand for imported goods mainly groceries and construction materials as confirmed by the recent business liaison survey. Even though the labour mobility schemes have some negative repercussions, especially by way of constricting the labour force, the higher inflows have been and are expected to continue to offset the government revenue losses by way sustaining VAT and contributing to other import duties collections. Retail trade is projected to further rise to 3.2 percent in 2023 and 4.0 percent in 2024.

Accommodation and food services as a subsector serves as a proxy for tourism receipts. Following the reopening of international borders to tourists, the growth projection for this subsector is 5.8 percent for 2022. While borders were still closed, the Government did attempt to stimulate the sector through its COVID-19 stimulus package programs, however, this did not stop the subsector from declining by an estimated 5.0 percent in 2021 after halving in size in 2020. Given Vanuatu's continuous efforts in terms of COVID-19 vaccination programs, and especially the anticipation that cruise tourism will resume in the latter part of 2022, growth is expected to surge to 24.1 percent in 2023 and 17.1 percent in 2024. Despite strong growth projections for the medium term, it is anticipated that it will take more than 3 years before arrivals reach pre-COVID-19 levels as travellers remain cautious. The major challenge at the moment is the pronounced lack of skilled labour after many such workers had been made redundant throughout the pandemic and therefore sought employment in seasonal employment programs in New Zealand and Australia instead. In order to resolve this, the government is considering offering a Short-Term Employment Visa which could bring foreign workers over to alleviate the current shortage of skilled labour in mainly the services sector.

Developments in the finance and insurance subsector have remained stable during the lockdown. Sub-sectoral growth is estimated to have been 0.5 percent in 2021 after registering a -1.0 percent growth in 2020. In 2022, growth is expected to be 0.9 percent. Financial institutions have played a crucial role in responding to COVID-19 and TC Harold, successfully fulfilling their role as the intermediary for suppliers and demanders of money, complementing nationwide efforts toward countering weak economic conditions. The Special COVID-19 Banking Facility offered by the Vanuatu Government is currently active and will be managed by commercial banks over the medium term aimed at addressing recovery and support businesses that had suffered from COVID-19. Commercial banks have remained liquid, against a backdrop of declining private sector credit. Despite this, unregulated financial institutions have been active in providing credit access to especially middle and low-income earners. Growth is projected to remain elevated over the next two years at 3.1 percent in 2023 and 2.8 percent in 2024.

The border closure has also constricted foreign direct investment in real estate. With investors not being able to travel over, the real estate subsector suffered a 9.2 percent decline in 2020. Growth is projected at 1.9 percent in 2022 growing from a 0.4 percent growth estimated for the year 2021. Many developments that have occurred during lockdown to date are those that have been planned pre-COVID-19. The government's Real Estate Option has yet to be implemented, however, the border re-opening would still boost developments over the medium term with growth forecast at 2.4 percent in 2023 and 2.6 percent in 2024.

Consistent with the increase in project developments in the country, professional, scientific, technical, and administrative activities have picked up pace in recent months. The majority of such experts are involved in the design of major infrastructure projects among other technical areas. The majority of such services have to be imported by way of expert individuals from overseas as the country lacks technical expertise for scientific and technical jobs across the economy. The subsector is projected to grow at 6.7 percent in 2022 and remain at 4.3 percent on average over the medium term.

Public administration, as one of the main driving forces in the services sector, is expected to maintain a healthy growth of 1.4 percent in 2022 and 1.3 percent in 2023. The Government continues to expand its services and recruit more public servants during the lockdown. Government ministries and other public institutions continue to undertake restructuring to meet the increasing demand for government services to the people of Vanuatu. This is also driven by the government's rural development objective of strengthening area councils in the provinces.

MONETARY UPDATE

The Monetary authority remains accommodative in its monetary policy stance since 2020. At the end of June 2022, the Bank's policy interest rate remained at 2.25 percent as the Bank felt that this current policy stance remains appropriate for achieving its policy targets of (i) keeping the annual inflation within the range of 0.0-4.0 percent and (ii) maintaining an adequate level of foreign reserves above the minimum threshold equivalent of 4 months of projected import cover. At the end of May 2022, official reserves were sufficient to finance 14 months of imports. Official reserves are projected to remain above the threshold of 4.0 months of import cover by the end of December 2022. Annual inflation recorded 2.7 percent in the first quarter of 2022, which is within the RBV target range. However, inflationary pressures are mounting as triggered by the current increase in fuel and food prices as a result of the Russia-Ukraine war. Prices are expected to rise further this year beyond the RBV's inflation target range from quarter 2 to quarter 4 of 2022, and then subside to within target by quarter 1, 2023. While the official reserves target is achieved, the RBV is continuously monitoring the risks associated with the current inflationary pressures which might have implications on its inflation target in 2022.

Other policy interest rates such as the Statutory Reserve Deposits Ratio and the Liquid Asset Ratio have been maintained at 5.25 percent and 5.0 percent, respectively. The Capital Adequacy Ratio (CAR) remains at 10.0 percent. The Bank's Import Substitution and Export Finance Facility (ISEFF) and the Disaster Reconstruction Credit Facility (DRCF) too have remained active.

Money Supply (M2) expanded gradually during the first five months of 2022, albeit faster than the rate experienced over the same period in 2021. M2 growth was driven largely by narrow money reflecting stronger domestic consumption due to liquidity injection via the continuous Government stimulus program to businesses, complemented by the COVID-19 hardship loans to Vanuatu National Provident Fund members. In terms of determinants, money growth from January to May 2022 was largely driven by both net foreign assets and the Government's net credit position vis-à-vis the banking system. Private sector credit continues to depict weak growth during the current period. Going forward, net foreign assets and the Government's net credit position vis-à-vis the banking system will drive money growth. Growth in private sector credit is expected to be gradual, taking into consideration the re-opening of the Vanuatu borders from July 2022 which is expected to trigger the demand for credit as economic activity starts to pick up. Furthermore, the Government's Special COVID-19 Banking Facility will add further to credit growth. Overall, monetary conditions have been supportive of growth as evidenced by the high liquidity holdings and sound capital positions of commercial banks.

Inflation

Vanuatu's year-on-year headline inflation rate rose to 2.7 percent over the March quarter of 2022, driven by a rise in the domestic prices of root crops, fruits and vegetables, tobacco, school fees, electricity and water supply charges, and petroleum and diesel. The outlook for inflation remains elevated on the back of rising global food and fuel prices triggered mainly by the Russia-Ukraine war and increased domestic demand due to the reopening of borders.

Increased domestic demand during Vanuatu's temporary lockdown along with increased food and fuel prices (initiated by the Russia-Ukraine war in February) have put upward pressures on overall inflation over the March quarter. In terms of imported inflationary pressures, the international crude oil price has continued to increase reaching US\$116.8 per barrel in June 2022 from US\$71.8 per barrel in June 2021. Besides external factors, domestic government tax policy changes at the beginning of the year may have also contributed to increases in mainly food and tobacco prices. Apart from these, prices of other CPI categories remain relatively stable, inclusive of clothing and footwear, health, and recreation as supplies remain in abundance and demand remains weak in general. Vanuatu's fixed exchange rate regime will continue to anchor inflation and cushion the impact of the rise in imported costs over the medium term. On the downside, the COVID-19 negative effects and the ongoing Russia-Ukraine war continue to disrupt the global supply chain and drive global prices upwards, which may elevate inflation further. Increased domestic demand driven by the re-opening of borders and the ongoing infrastructure projects will add to the inflationary pressures. The year-ended headline inflation rate, then, is projected to rise above RBV's 0.0-4.0 percent target bound and register within the 4.0-5.0 percent range, followed by an easing in 2023 as major supply constraints ease.

Balance of Payments

Vanuatu has managed to retain its positive external position over the first six months of the year amidst a weak domestic economy and a deteriorating global environment. Official foreign reserves continue to increase showing a 9.0 percent increase in June 2022 from June 2021 as compared to an 8.0 percent increase from June 2020 to June 2021. On the domestic front, the Government's focus on enhancing the productive sector continues to be effective, seeing domestic exports picking up over the first three months of the year in comparison to reductions over the same period in the previous two years. Government revenue from abroad continues to increase while compensation of employees also remains high with the continuous increase of workers employed abroad as part of the Government's goal of improving Ni-Vanuatu's wellbeing through increased employment. On the international front, the impact of the pandemic and the Russia-Ukraine war has weighed on global commodity prices, boosting export-related earnings while increasing import-related costs. Nevertheless, overall foreign reserves stood at around VT71.7 billion at end of May, sufficient to cover approximately 14 months of imports.

Vanuatu's BOP outlook remains favourable while downside risks of further increased import and external debt repayments remain as the war continues to escalate along with reduced Government revenue from abroad.

Exchange Rate

Movements of the Vatu vis-à-vis its major currencies reflect developments in the economic and financial conditions of Vanuatu's major trading partners. Over the year to June 2022, the Vatu appreciated against the EURO, NZD, and AUD by -6.1 percent, 4.9 percent, and 2.1 percent respectively. Conversely, the Vatu depreciated against the USD by 6.6 percent as the dollar continues to remain high against most major trading currencies since the US Federal Reserve began to signal and implement interest rate hikes.

The RBV continues to pursue a stable nominal effective exchange rate in support of the current level of healthy foreign reserves in the banking system.

FISCAL UPDATE³

Revenue

Total Government revenue collection excluding development financing recorded VT 13,899.5 million in the first half of this year, representing 40.3 percent of the revised budget target of VT 34,464.2 million⁴ and is 18.6 percent lower than the VT 17,088.9 million that was collected up to June last year. On average, revenue collections were 13.9 percent lower than the budget forecast of VT 16,151.3 million for the first half of this year. This is due to the COVID-19 pandemic, community transmission lockdown, and border closure.

VAT continues to be the main source of the Government's taxation revenue, recording VT 3,917.8 million so far this year, which represents 40.4 percent of the annual budget target of VT 9,702.5 million, and 7.5 percent higher than the amount that was collected up to the end of June last year (VT 3,646.0 million). VAT collection was lower within the first half of this year due to the prolonged impact of COVID-19 which had resulted in the international border remaining closed, unemployment, and lower consumption. However, VAT collection would have been lower without the implementation of the Economic stimulus Package which helped to mitigate the effects of the slowdown in VAT collection.

Taxes on international trade and transactions, constituting import and export duties are the second main source of the Government's taxation revenue. These generated VT 1,707.9 million, which is 46.3 percent of the budget target of VT 3,690.7 million and is 2.1 percent lower than the VT 1,744.3 million that was collected up to June last year. Excise tax collection recorded VT 899.3 million during the first six months of this year which comprises 21.2 percent of the budget target of VT 4,235.0 million and is 40.2 percent less than the VT 1,504.8 million that was collected up to the end of June last year. This is mainly due to payment of excess tobacco stocks at the end of last year in trying to avoid higher excise tax that was effective in 2022. However, excise collection on other items such as excise motor spirit, excise beer imports, and excise wines and spirits were also lower during the first half of this year.

Due to the impact of COVID-19 on the economy, Vanuatu received budget support from its development partners for a total of VT 584.6⁵ million to fund the 3rd Economic Stimulus Package, to prepare for (before the outbreak), and also respond to COVID-19 community transmissions. However, further budget support is expected from the 11th EDF in the second half of the year to stimulate economic growth through the productive sectors.

³ The figures described and explained in this section can be seen in Tables 7 to 12 at the end of this report, which show the Statements of Government Operations using GFS14 classification.

⁴ The total original budget of VT 33,979.4 million has been increased to VT 34,464.2 million due to Budget support to fund Economic Stimulus supplementary and revenue forgone of VT 99.7 million in line with the 3rd phase of the Economic Stimulus Package. Revenue forgone of VT 75.5 million from Road tax and VT 24.2 million from Rent tax.

⁵ VT 19.2 million by the Australia Department of Foreign Affairs and Trade (DFAT) and VT 565.4 million from Asian Development Bank (ADB)

Among other revenue, constituting fees and charges, Vanuatu Development Support Program (VDSP) and Vanuatu Contribution Program (VCP) together collected VT 4,705.9 million so far this year, which is 48.7 percent of the budget target of VT 9,659.6 million and is 16.8 percent lower than the VT 5,654.2 million that was collected up to June last year.

In terms of development financing, the Vanuatu Government continues to extend its sincere gratitude to its development partners. At the end of June, the Government received a total of VT 3,061.3 million in project grants from donors, representing 27.0 percent of the revised budget target of VT 11,399.0 million and 26.8 percent less than VT 4,183.6 million collected up to June last year. Major contributing donors so far in 2022 include the World Bank (VT 822.2 million), China (VT 673.1 million), Australia (VT 653.1 million), the International Development Association (VT 276.0 million), and New Zealand (VT 261.8 million).

Expenditure

Government expenses over the first half of this year recorded a total of VT 15,098.8 million, representing 44.4 percent of the 2022 revised budget target of VT 33,969.9 million⁶ and 9.0 percent more than the VT 13,853.3 million that was spent in the first six months of last year. The revised Budget Target also includes the 2022 normal supplementary and Financial supplementary of VT 2,409.3 million that will be funded by the Government, and budget support provided by the Development partners.

On average, total Government expenses were only 1.5 percent less than budget forecasts in each of the first six months in 2022. Despite there being COVID-19 community transmissions and subsequent lockdowns between March and April this year, achieving such a budget target was possible through the temporary suspension of lower-value procurement requirements stipulated by the Government Central Tenders Act and regulation between April and June this year.

Apart from the abovementioned positive developments, certain expenditure items have exceeded their annual budget so far. These include:

- *Special Allowances (VT 249.5 million against an annual budget of VT 193.8 million)*
- *Court settlement Costs (VT 161.7 million against an annual budget of VT 58.9 million)*
- *Other Suppliers⁷ (VT 175.9 million against an annual budget of VT 56.1 million)*
- *Termination Payments (VT 956.5 million against an annual budget of VT 554.0 million)*

Net acquisition of non-financial assets recorded VT 799.9 million over the first half of this year representing only 25.0 percent of the revised budget target of VT 3,196.2 million and 97.7 percent higher than the net amount of VT 404.6 million spent by June last year, partially due to the temporary suspension of the lower-value procurement requirements, and the implementation of the Government's major projects this year.

As of the end of June, project grant expenses come to a total of VT 1,429.8 million which is equivalent to 13.3 percent of the revised budget target of VT 10,783.5 million and 24.1 percent less than the VT 1,883.1 million that was spent during the same period last year, partially due to COVID-19 community transmission lockdown in April to May this year. However, the government is expecting to see an improvement in the implementation of donor projects by the end of this year given the current announcement of borders re-opening from the 1st July 2022.

⁶ The total original Budget of VT 32,081.6 million has been increased by VT 1,888.3 to VT 33,969.9 million in line with the supplementary budget which also includes VT 1,304.0 million for the 3rd phase of the Economic Stimulus package.

⁷ Suppliers apart from the suppliers of food, medicine and ration.

Financing

The Government's total net operating balance (including donor funds) was a deficit of VT 133.2 million at the end of June, which is equivalent to a negative 0.1 percent of GDP. Excluding donor financing, the Government's net operating balance was also a deficit of VT 1,199.3 million at the end of June.

So far this year, the Government has amortized a total of VT 1,597.1 million worth of external loans to JICA, China, the Asian Development Bank (ADB), and the International Development Association (IDA). In addition, the Government also amortized VT 700.9 million worth of domestic bonds and undertook a drawdown of VT 2,016.1 million worth of domestic bonds.

REVENUE AND TAX POLICY

The dual impacts of the COVID-19 pandemic and the Russia-Ukraine war have undermined the Government's ability to raise adequate revenue to meet its public expenditure programs. Going forth, the government's success would depend heavily on the robustness of its tax policy and administration. Thus, building an effective tax system that can adapt to the changing economic times, including future natural disasters, is a core responsibility of the Government. When designed and administered properly, the tax system should effectively raise the revenue necessary to fund the provision of essential public goods and services.

In comparison to the 2020 and 2021 financial years, the national revenue collections over the first 6 months of 2022 were lower than budgeted for. Overall, revenue collections fell below the 50% target for the first 6 months. However, with the re-opening of the borders on the 1st of July 2022, the Government remains optimistic that it will recoup these shortfalls over the remaining half of the financial year.

Over the past 6 months, the government has intervened to waive a few of its tax revenues as part of its ongoing Economic Stimulus policy. While this has been targeted at assisting locally-owned small businesses and especially tourism businesses over the prolonged pandemic, the trade-off has been an imposition of additional pressure on the overall Government's ability to be able to collect its budgeted revenue target. Given these circumstances, the Government is not in a position to introduce any new major revenue policy initiatives, but instead, divert more attention to the improvement of existing policies. The government has nonetheless remained stable with its policy to ensure the impacts of any potential revenue loss are minimized during such difficult times.

Encouragingly, the Department of Customs and Inland Revenue (DCIR) has so far this year been undergoing administrative reforms to ensure that revenue collections continue. This includes further changes to the Tax Administration Act and its regulations to ensure the administration of taxes is more in line with global standards on good tax practices. The ongoing interactions between the DCIR, the Department of Finance and Treasury's (DoFT) Tax Policy Unit, the European Union Code of Conduct Group (EU CoCG), and the OECD Global Forum have also resulted in new reforms within the DCIR. While the Tax Administrator continues to actively explore new avenues in improving the way they administer taxes, a proposed new structure for the Inland Revenue sub-directorate has been endorsed by the Public Services Commission (PSC) to allow Vanuatu to be able to meet its international tax obligations.

Cross-border-related taxes, such as Import Duties and Excise Taxes, and those collected by Ports and Harbours, have underperformed over the first 6 months of 2022, but are likely to experience positive improvements over the remaining 6 months of this financial year. With tourism activities slowly returning to normalcy, we should see a slight increase in revenues collected through VAT and other taxes administered by the DCIR. The increase in remittances through labour mobility schemes in Australia and New Zealand and the increase in the price of fuel should also see some positive growth in revenue collections from Excise and Import Duties and also VAT.

The VDSP and VCP packages under the current Vanuatu citizenship program remain a major revenue initiative for the government for the last 5 years. This is, however, unlikely to be the case for 2022 given some of the major hurdles that the programs have so far gone through this year. The discontinued correspondent banking relationship in 2021, the recent suspension of the EU Visa waiver program, and the discontinuity of the Change of Name policy under the Civil Registry Act are currently among the major policy changes that have and may continue to significantly impact revenue collected under this program. The new Real Estate Option (REO) program is unlikely to compensate for any shortfall given its very low direct revenue potential.

The Lands Departments, together with the Department of Fisheries and the Department of Immigrations have also recorded lower than budgeted revenue collections in most of their revenue initiatives during the first half of this year, but expectations are high that these trends will improve over the remaining half of this financial year. With the reopening of borders, the government is hopeful to see an improvement in revenue collected through the Department of Immigration and the Department of Labour. The Ministry of Agriculture, Livestock, Forestry, and Fisheries also has great potential in raising revenue but will require first as a pre-requisite for this potential being realized that robust revenue-raising policies are in place.

On a positive note, a few ministries have performed well in terms of their revenue collections during the first 6 months of 2022. The Ministry of Health and the Ministry of Youth Development and Sports have already collected well above their revenue budget target, yet more revenue is likely to come in throughout the remaining months of this financial year.

Revenue Policy initiatives likely to be implemented in the remaining half of 2022:

1. *To work together with all Government Agencies in providing a more realistic revenue budget forecast for the financial year 2023 as directed by the Ministerial Budget Committee (MBC).*
2. *Export Levy on Kava (2% of the total value of export) to commence on the 1st of July with the Export levy on Noni Juice (5% on the total value of export) to come in the latter part of 2022 and the possibility of introducing a new export levy on Copra to go before parliament in December 2022.*
3. *Strengthen compliance on VAT registration for businesses that meet the VT 4 million turnover threshold.*
4. *Drafting and finalization of regulation for the Industrial Hemp and Medical Cannabis Act No. 31 of 2021.*
5. *Propose Amendments to the Ports and Harbours Regulations to cater for new fees and charges*
6. *Propose Amendments to the Fisheries regulation to cater to new fees and charges*
7. *Collaborate with the FIU and the Citizenship Office on policy reforms that need to be in place to address the current EU Visa waiver suspension.*
8. *Assist the Department of Lands in its efforts to address current outstanding revenue from land rent.*
9. *Policy proposal to repeal the Rent Act.*
10. *Policy proposal to review VAT Refunds as stipulated within the VAT Act and the Tax Administration Act as well as related tax refunds.*
11. *Review Potential Revenue loss through government exemptions on development projects.*
12. *Work together with the DCIR on related outstanding tax matters.*
13. *The National Revenue Governance Committee to work with Government Agencies on identified revenue initiatives.*

The challenge of implementing a good tax system continues to be further complicated by globalization, and the prevalent interdependence in the global economy means that individual countries can no longer design their tax systems in isolation. The Government is thus working hard to ensure Vanuatu meets the international standards on good tax practice. This includes standards set by the OECD's Global Forum on Transparency and Exchange of Information for Tax purposes (OECD Global Forum) and the EU CoCG. Vanuatu will face serious reputational damage and therefore serious economic repercussions if it does not comply with these standards.

1. In ensuring that Vanuatu meets its obligations with the EU COCG and is delisted from its current blacklist status, a new bill for the Residence Entity (Economic Substance) will have to be introduced in 2023. The parliament will need to give its approval of this bill by end of this year. The Vanuatu Competent Authority (VCA) has received substantial support from PFTAC for this requirement and a draft law is currently in its final stages of drafting. We are hopeful that the policy requirements are in place before the parliament's end-of-year sitting.
2. The OECD Global Forum has confirmed that Vanuatu will undergo a supplementary review during the 3rd Quarter of 2023 before a final determination is made on its current rating of being partially compliant with the standards. Vanuatu will need to demonstrate that it has made radical progress in meeting the standards and the review is aimed to confirm such progress.

Outstanding Revenue

Failure to collect money owed to the Government continues to erode the revenue base. Over the last ten years, debt owed to the Government has been accumulating to unfavourably high levels, resulting in the need to undertake significant write-offs. Debt that is written off is revenue foregone that could have been spent on essential public services and the process is intended to direct Departments' focus towards the collection of revenue as and when they fall due. The Government will focus on collecting taxes, fees, and charges in a timely manner to avoid further accumulation of uncollectible debt in the future.

The Government will continue to boost its revenue collection by strengthening the administration, compliance, and enforcement of its existing tax base through the implementation of modernized laws and systems as well as newly introduced fees and charges, and technology. The Government will continue to closely monitor the effectiveness of revenue collections to ensure the system becomes more effective and efficient over time.

PUBLIC DEBT

Total Government Debt

Vanuatu has been successfully adhering to its debt management strategies. Since 2015, large borrowings were made to finance recovery of damaged public infrastructure. New projects as well, were sought to cater to the Government's decentralization policy and its support to the growing young dynamic population. The Government's debt portfolio, although sustainable, remains in the medium-term at moderate risk of debt distress (IMF/WB Debt Sustainability Report) as debt levels are expected to increase in FY2023. This is largely due to the continuing disbursements of some projects that are partly funded through credit financing (32% of all credit-funded projects have 50% grant components). The closure of borders and the outbreak of COVID-19 in the first quarter of 2022 have slowed down the progress of projects, thus disbursements for various projects were delayed. It is envisioned that the delayed projects will now resume, but more progress will be experienced next year.

Table 4: Statement of Debt Stock

Statement of Debt Stock, showing the Government's Stock of Debt in Million:							
	2021 Preliminary	2022 Preliminary	2023 Forecast	2024 Forecast	2025 Forecast	2026 Forecast	2027 Forecast
Total External Debt	41,405.1	40,963.7	49,819.8	51,117.0	51,610.5	51,836.9	50,449.1
Total Domestic Debt	9,160.2	10,490.7	9,375.6	8,329.6	7,617.5	6,587.0	6,187.0
Total Stock of Debt	50,565.2	51,454.4	59,195.4	59,446.6	59,228.0	58,423.8	56,636.1
<i>Total Debt-To-GDP Ratio</i>	45.2%	42.5%	45.0%	42.0%	39.5%	37.1%	34.3%
<i>External Debt-To-GDP Ratio</i>	37.0%	33.9%	37.9%	36.1%	34.5%	32.9%	30.6%
<i>Domestic Debt-To-GDP Ratio</i>	8.2%	8.7%	7.1%	5.9%	5.1%	4.2%	3.8%

These figures represent end of year estimates and will vary due to exchange rate fluctuations and actual end of year disbursement values.

Source: Ministry of Finance and Economic Management

Vanuatu continues to service and manage its debt on both the domestic and external fronts. It is one of the very few countries in the world that has a program of debt prepayments every year to manage its debt stock (both domestic and external). Government debt as at July 2022 is forecasted to reach 44.3 percent of GDP, well under the threshold of 60.0 percent. Vanuatu also continues to borrow for infrastructure projects to support its productive sector focus, including the recovery of damaged infrastructure like schools and health centers. All borrowings are highly concessional in line with the minimum grant elements of 35%. Again, all borrowing for infrastructure projects is in line with the National Sustainable Development Plan 2030.

The Government maintains prudent monitoring of all costs and risks associated with its debt portfolio and works to ensure medium to long-term debt sustainability. Fiscal consolidation in the medium-term will be critical for the sustainability of Government debt in the long term.

External Debt Stock

With the successful adherence to current debt policies, the current nominal external debt stock is 36.0 percent of nominal GDP. This is also still below the benchmark of 40.0 percent. With the continued growth of GDP, the trend will decline over the medium term. Factors like zero non-concessional lendings, continuing planned debt-servicing and the prepayment program heavily contribute to keeping the debt levels below thresholds. On the other hand, GDP growth is also key, especially in current times of high economic uncertainty. Planned debt-servicing, nevertheless, will continue as planned.

External debt stock is projected to be VT 39.5 billion by the end of July 2022, equivalent to 35.0 percent of GDP. The table below depicts the Government's external debt position from 2018 to 2021.

Table 5: Statement of External Debt Stock

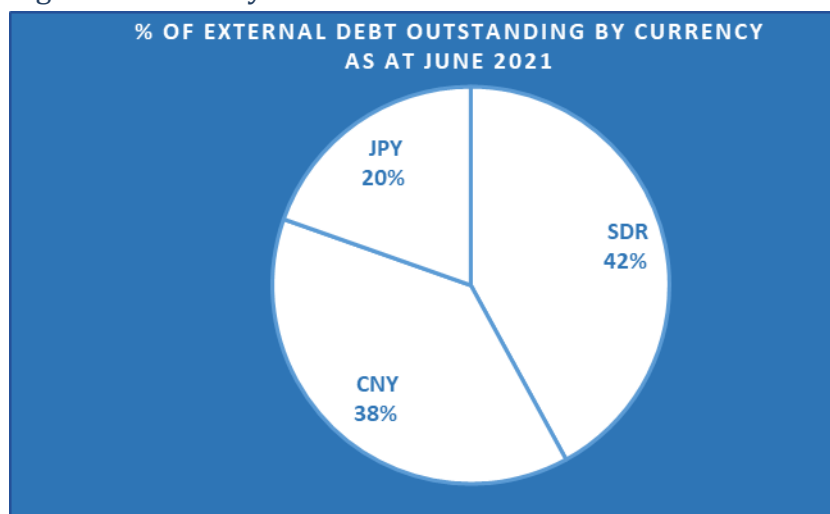
Statement of Debt Stock, showing the Government's External Stock of Debt in Millions of Vanuatu VATU				
	2018 Actual	2019 Actual	2020 Actuals	2021 Preliminary
External Debt				
<i>Bilateral</i>				
Agence Française de Développement	34.7			
EXIM Bank of China	16,805.8	16,940.9	15,877.4	14,837.8
Japan International Cooperation Agency	8,371.3	8,650.9	8,573.7	8,636.2
Bilateral Government Guarantees	162.5	93.9	927.9	927.9
Total Bilateral Debt	25,374.3	25,685.7	25,379.0	24,401.9
<i>Multilateral</i>				
Asian Development Bank	5,355.0	5,949.7	5,741.7	5,728.6
International Development Association (World Bank)	6,215.4	9,609.3	10,038.9	11,204.8
Multilateral Government Guarantees	129.6	83.6	76.7	69.9
Total Multilateral Debt	11,700.0	15,642.7	15,857.4	17,003.2
Total External Debt	37,074.3	41,328.4	41,236.4	41,405.1
<i>External Debt-To-GDP Ratio</i>	<i>36.8%</i>	<i>38.5%</i>	<i>38.3%</i>	<i>37.0%</i>

These figures represent end of year estimates and will vary due to exchange rate fluctuations and actual end of year disbursement values.

Source: Ministry of Finance and Economic Management

In terms of the composition of external debt by currency, Special Drawing Right (SDR)-denominated loans are projected to continue dominating the portfolio, comprising 42.0 percent of total external debt by the end of July, trailed by the CNY at 38.0 percent and the JPY at 20.0 percent.

Figure 1: Currency Denomination of External Debt



Source: Ministry of Finance and Economic Management

The Government has successfully accessed the ADB Pacific Resilience Program phase 2 (Contingency Disaster Financing) of VT 567 million in grant. The World Bank has a similar program which is the Catastrophic Disaster Drawdowns Option 2 (CATDDO 2) and is a grant of VT 1.3 billion. Those Contingency Financing programs are designed to act as a fiscal buffer for any unforeseen government expenditure in the event of a natural disaster or in the event of a declared state of emergency such as the recent health disaster of the COVID-19 community outbreak in the country.

Domestic Debt Stock

Domestic debt is forecast to reach VT 10.5 billion by July 2022, equivalent to 9.3 percent of GDP. Domestic markets have historically not been a major source of borrowing for the Government with institutional investors like the VNPF holding a significant portion of Government bonds.

To date, the Government has raised VT 2 billion in domestic bonds issued in FY2022, repaid VT 700.9 million in principal, and spent VT 81 million in interest payments.

The Government maintains elevated Treasury bond levels and consistent issuances in the market as an avenue for liquidity risk management for commercial banks.

Table 6: Statement of Domestic Debt Stock

Statement of Debt Stock, showing the Government's Stock of Debt in Millions of Vanuatu VATU				
	2018 Actual	2019 Actual	2020 Actuals	2021 Preliminary
Domestic Debt				
Domestic Bonds	5,979.5	5,306.6	8,038.8	8,176.1
Domestic Government Guarantees	973.3	898.1	934.7	984.0
Total Domestic Debt	6,952.8	6,204.7	8,973.5	9,160.2
<i>Domestic Debt-To-GDP Ratio</i>	<i>6.9%</i>	<i>5.8%</i>	<i>8.3%</i>	<i>8.2%</i>

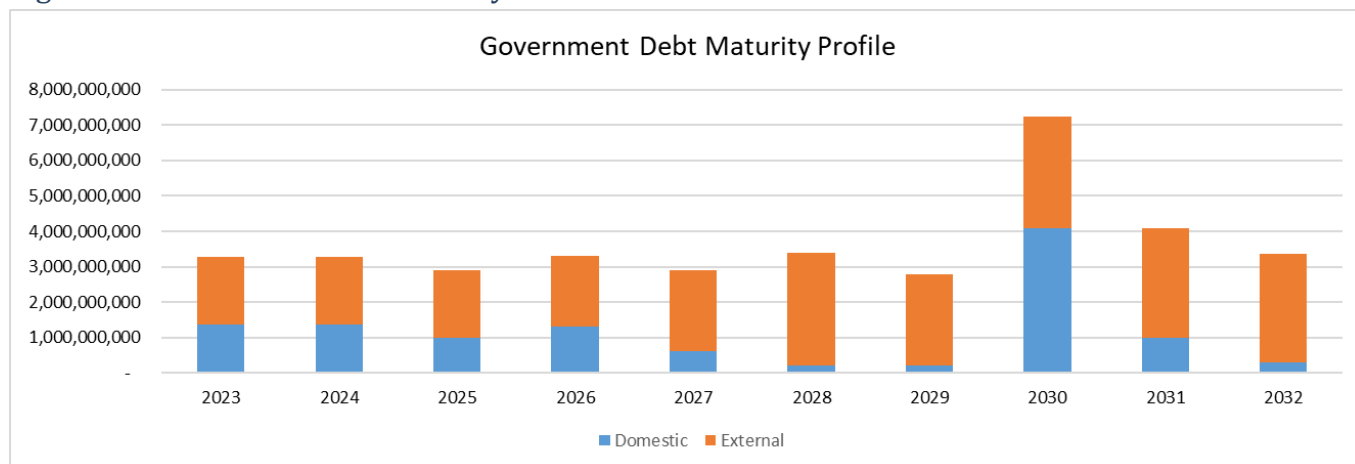
These figures represent end of year estimates and will vary due to exchange rate fluctuations and actual end of year disbursement values.

Source: Ministry of Finance and Economic Management

Government Debt Redemption Profile

The Government's debt portfolio is actively managed to ensure an optimal cost and maturity structure. The exercise of prepayments that is currently undertaken by the government will greatly mitigate refinancing risk for FY2022 while also ensuring minimal impact on foreign reserves and liquidity. The Government will continue to seek concessional financing under favorable terms and conditions from available sources. Greater focus will be on the domestic market going forward to assist in the reduction of excess liquidity in the banking system.

Figure 2: Government Debt Maturity Profile



Source: Ministry of Finance and Economic Management

New Projects

Project implementations and the disbursement of infrastructure projects will continue to counter the effect of the COVID-19 pandemic. It is thus imperative that planned disbursements of projects must continue after delays from the pandemic and effect positively on GDP. The signing of major projects from December last year and the first quarter of 2022 include:

1. Additional Financing of VT 4.65 billion Vanuatu Climate Resilient Transport Project South Santo Road project (WB)
2. VT 2.9 billion (Grant) Vanuatu Affordable Resilience Settlements (VARs).
3. VT 4.2 million Santo Hydropower Project (JICA).
4. VT 565 million Budget Support (ADB).
5. VT 300 million Additional Greater Port Vila Urban Resilience (ADB).
6. VT 700 million Additional Energy Access (ADB).

Again, all new loans will be analysed per the debt provisions in the PFEM Act, Financial Regulations, and Debt Management Strategy. Also, project financing will be prioritized in accordance with its concessional terms and revenue-generating capacity to assist in its loan repayments. Vanuatu will continue to opt for fully-grant funding projects. Greater scrutiny, feasibility assessments, and proper processes are necessary to ensure that any new loans provide sufficient economic and social returns for both the country, and keep repayments at sustainable levels.

Table 7: Statement of Government Operations excluding Donor Financing using GFS14 Classification, January – June 2022

STATEMENT OF GOVERNMENT OPERATIONS EXCLUDING DONORS										
GFS Code	GFS Description	Budget 2022	Total (VT mn)	%	January Actual	February Actual	March Actual	April Actual	May Actual	June Actual
TRANSACTIONS AFFECTING NET WORTH:										
A1	Revenue	34,464.2	13,899.5	40.3%	2,948.7	2,176.7	2,442.8	2,286.0	2,057.0	1,988.4
A11	Taxes	20,318.5	7,905.4	38.9%	1,693.0	1,351.5	1,014.0	1,362.1	1,169.8	1,315.1
A111	Taxes on income, profits, and capital gains	-	-	0.0%	-	-	-	-	-	-
A112	Taxes on payroll & workforce	-	-	0.0%	-	-	-	-	-	-
A113	Taxes on property	486.1	165.0	33.9%	37.4	20.1	2.3	55.5	19.2	30.5
A114	Taxes on goods & services	16,141.7	6,032.5	37.4%	1,359.3	1,079.8	729.9	985.0	848.9	1,029.5
A115	Taxes on international trade & transactions	3,690.7	1,707.9	46.3%	296.3	251.6	281.7	321.5	301.7	255.0
A116	Other taxes	-	-	0.0%	-	-	-	-	-	-
A12	Social contributions	-	-	0.0%	-	-	-	-	-	-
A13	Grants	1,414.1	534.4	37.8%	-	(50.2)	584.6	-	-	-
A14	Other revenue	12,731.6	5,459.7	42.9%	1,255.7	875.4	844.2	923.9	887.1	673.4
A2	Expense	33,969.9	15,098.8	44.4%	2,013.6	1,992.5	2,545.6	3,606.8	2,355.3	2,585.0
A21	Compensation of employees	17,601.9	7,659.0	43.5%	1,236.4	1,007.5	1,146.9	1,817.5	1,234.6	1,216.0
A22	Use of goods and services	8,606.1	3,473.0	40.4%	557.7	512.6	384.3	504.1	647.7	866.7
A23	Consumption of fixed capital	-	-	0.0%	-	-	-	-	-	-
A24	Interest	713.8	334.7	46.9%	0.2	23.1	147.9	81.2	9.4	73.0
A25	Subsidies	625.0	163.3	26.1%	(3.1)	14.5	82.3	30.7	14.4	24.4
A26	Grants	3,629.0	1,634.6	45.0%	264.5	218.5	392.7	572.1	35.3	151.5
A27	Social benefits	564.0	956.6	169.6%	76.2	177.0	272.0	10.2	298.4	122.7
A28	Other expense	2,230.1	877.6	39.4%	(118.4)	39.3	119.4	591.1	115.5	130.7
GOB	Gross operating balance (1-2+23+NOBz)	494.3	(1,199.3)		935.1	184.2	(102.8)	(1,320.7)	(298.4)	(596.6)
NOB	Net operating balance (1-2+NOBz)	494.3	(1,199.3)		935.1	184.2	(102.8)	(1,320.7)	(298.4)	(596.6)
	% of GDP	0.4%	-1.0%		0.8%	0.2%	-0.1%	-1.1%	-0.2%	-0.5%
TRANSACTIONS IN NONFINANCIAL ASSETS:										
A31	Net Acquisition of Nonfinancial Assets	3,196.2	799.9	25.0%	231.2	44.2	54.2	58.2	311.2	100.9
A311	Fixed assets	3,196.2	799.9	25.0%	231.2	44.2	54.2	58.2	311.2	100.9
A312	Change in inventories	-	-	0.0%	-	-	-	-	-	-
A313	Valuables	-	-	0.0%	-	-	-	-	-	-
A314	Nonproduced assets	-	-	0.0%	-	-	-	-	-	-
NLB	Net lending / borrowing (1-2+NOBz-31)	(2,701.9)	(1,999.2)		703.9	139.9	(157.0)	(1,378.9)	(609.6)	(697.5)
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):										
		-2.2%	-1.6%		0.6%	0.1%	-0.1%	-1.1%	-0.5%	-0.6%
A32	Net acquisition of financial assets	(4,422.1)	(2,281.0)	0.0%	703.9	139.9	(819.6)	(88.8)	(639.7)	(1,576.8)
A321	Domestic	(4,422.1)	(2,281.0)	0.0%	703.9	139.9	(819.6)	(88.8)	(639.7)	(1,576.8)
A322	Foreign	-	-	0.0%	-	-	-	-	-	-
A33	Net incurrence of liabilities	(1,720.3)	(281.8)	16.4%	-	-	(662.5)	1,290.2	(30.2)	(879.3)
A331	Domestic creditors	1,317.9	1,315.2		-	-	-	1,304.0	-	11.2
A332	External creditors	(3,038.2)	(1,597.1)	52.6%	-	-	(662.5)	(13.8)	(30.2)	(890.5)

Source: Ministry of Finance and Economic Management

Table 8: Statement of Government Operations funded by donors through the central treasury account, in GFS14 Classification, January – June 2022

STATEMENT OF GOVERNMENT OPERATIONS FUNDED BY DONORS THROUGH THE CENTRAL TREASURY ACCOUNT										
GFS Code	GFS Description	Budget 2022	Total (VT mn)	%	January Actual	February Actual	March Actual	April Actual	May Actual	June Actual
TRANSACTIONS AFFECTING NET WORTH:										
A1	Revenue	11,339.0	3,061.3	27.0%	378.2	380.9	997.4	595.0	165.3	544.5
A11	Taxes	-	-	0.0%	-	-	-	-	-	-
A111	Taxes on income, profits, and capital gains	-	-	0.0%	-	-	-	-	-	-
A112	Taxes on payroll & workforce	-	-	0.0%	-	-	-	-	-	-
A113	Taxes on property	-	-	0.0%	-	-	-	-	-	-
A114	Taxes on goods & services	-	-	0.0%	-	-	-	-	-	-
A115	Taxes on international trade & transactions	-	-	0.0%	-	-	-	-	-	-
A116	Other taxes	-	-	0.0%	-	-	-	-	-	-
A12	Social contributions	-	-	0.0%	-	-	-	-	-	-
A13	Grants	11,339.0	3,061.3	27.0%	378.2	380.9	997.4	595.0	165.3	544.5
A14	Other revenue	-	-	0.0%	-	-	-	-	-	-
A2	Expense	10,783.5	1,429.8	13.3%	45.0	355.0	271.5	147.3	284.5	326.5
A21	Compensation of employees	655.7	107.0	16.3%	13.2	17.3	13.9	22.3	22.5	17.8
A22	Use of goods and services	8,228.2	1,320.1	16.0%	46.9	336.0	257.5	112.2	261.2	306.3
A23	Consumption of fixed capital	-	-	0.0%	-	-	-	-	-	-
A24	Interest	9.0	-	0.0%	-	-	-	-	-	-
A25	Subsidies	18.3	4.4	0.0%	(0.1)	-	-	1.2	0.9	2.4
A26	Grants	1,100.7	(15.1)	-1.4%	(15.0)	-	(0.1)	-	-	-
A27	Social benefits	759.8	13.1	1.7%	-	1.7	-	11.4	(0.0)	-
A28	Other expense	11.9	0.4	3.0%	-	-	0.3	0.1	-	-
GOB	Gross operating balance (1-2+23+NOBz)	555.5	1,631.4		333.2	25.9	725.8	447.7	(119.2)	218.0
NOB	Net operating balance (1-2+NOBz)	555.5	1,631.4		333.2	25.9	725.8	447.7	(119.2)	218.0
	% of GDP	0.5%	1.3%		0.3%	0.0%	0.6%	0.4%	-0.1%	0.2%
TRANSACTIONS IN NONFINANCIAL ASSETS:										
A31	Net Acquisition of Nonfinancial Assets	4,834.4	1,982.9	41.0%	57.7	79.1	1,269.0	80.5	95.3	401.3
A311	Fixed assets	4,834.4	1,982.9	41.0%	57.7	79.1	1,269.0	80.5	95.3	401.3
A312	Change in inventories	-	-	0.0%	-	-	-	-	-	-
A313	Valuables	-	-	0.0%	-	-	-	-	-	-
A314	Nonproduced assets	-	-	0.0%	-	-	-	-	-	-
NLB	Net lending / borrowing (1-2+NOBz-31)	(4,278.9)	(351.4)		275.5	(53.1)	(543.1)	367.2	(214.5)	(183.3)
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):										
		-3.5%	-0.3%		0.2%	0.0%	-0.4%	0.3%	-0.2%	-0.2%
A32	Net acquisition of financial assets	-	(351.4)	0.0%	275.5	(53.1)	(543.1)	367.2	(214.5)	(183.3)
A321	Domestic	-	(351.4)	0.0%	275.5	(53.1)	(543.1)	367.2	(214.5)	(183.3)
A322	Foreign	-	-	0.0%	-	-	-	-	-	-
A33	Net incurrence of liabilities	4,278.9	-	0.0%	-	-	-	-	-	-
A331	Domestic creditors	-	-	0.0%	-	-	-	-	-	-
A332	External creditors	4,278.9	-	0.0%	-	-	-	-	-	-

Source: Ministry of Finance and Economic Management

Table 9: Statement of Government Operations including donor financing (consolidated) using GFS14 Classification, January – June 2022

STATEMENT OF TOTAL GOVERNMENT OPERATIONS										
GFS Code	GFS Description	Budget 2022	Total (VT mn)	%	January Actual	February Actual	March Actual	April Actual	May Actual	June Actual
TRANSACTIONS AFFECTING NET WORTH:										
A1	Revenue	45,803.2	16,395.4	35.8%	3,326.9	2,557.6	2,874.8	2,881.0	2,222.3	2,532.9
A11	Taxes	20,318.5	7,905.4	38.9%	1,693.0	1,351.5	1,014.0	1,362.1	1,169.8	1,315.1
A111	Taxes on income, profits, and capital gains	-	-	0.0%	-	-	-	-	-	-
A112	Taxes on payroll & workforce	-	-	0.0%	-	-	-	-	-	-
A113	Taxes on property	486.1	165.0	33.9%	37.4	20.1	2.3	55.5	19.2	30.5
A114	Taxes on goods & services	16,141.7	6,032.5	37.4%	1,359.3	1,079.8	729.9	985.0	848.9	1,029.5
A115	Taxes on international trade & transactions	3,690.7	1,707.9	46.3%	296.3	251.6	281.7	321.5	301.7	255.0
A116	Other taxes	-	-	0.0%	-	-	-	-	-	-
A12	Social contributions	-	-	0.0%	-	-	-	-	-	-
A13	Grants	12,753.1	3,030.3	23.8%	378.2	330.7	1,016.6	595.0	165.3	544.5
A14	Other revenue	12,731.6	5,459.7	42.9%	1,255.7	875.4	844.2	923.9	887.1	673.4
A2	Expense	44,753.4	16,528.6	36.9%	2,058.5	2,347.5	2,817.1	3,754.0	2,639.9	2,911.5
A21	Compensation of employees	18,257.6	7,766.0	42.5%	1,249.6	1,024.8	1,160.8	1,839.8	1,257.1	1,233.8
A22	Use of goods and services	16,834.3	4,793.1	28.5%	604.6	848.5	641.7	616.3	908.9	1,173.1
A23	Consumption of fixed capital	-	-	0.0%	-	-	-	-	-	-
A24	Interest	722.7	334.7	46.3%	0.2	23.1	147.9	81.2	9.4	73.0
A25	Subsidies	643.3	167.7	26.1%	(3.2)	14.5	82.3	31.9	15.3	26.8
A26	Grants	4,729.7	1,619.5	34.2%	249.5	218.5	392.7	572.1	35.3	151.5
A27	Social benefits	1,323.8	969.7	73.2%	76.2	178.7	272.0	21.5	298.4	122.7
A28	Other expense	2,242.0	878.0	39.2%	(118.4)	39.3	119.7	591.2	115.5	130.7
GOB	Gross operating balance (1-2+23+NOBz)	1,049.8	(133.2)		1,268.3	210.1	57.6	(873.0)	(417.6)	(378.6)
NOB	Net operating balance (1-2+NOBz)	1,049.8	(133.2)		1,268.3	210.1	57.6	(873.0)	(417.6)	(378.6)
	% of GDP	0.9%	-0.1%		1.0%	0.2%	0.0%	-0.7%	-0.3%	-0.3%
TRANSACTIONS IN NONFINANCIAL ASSETS:										
A31	Net Acquisition of Nonfinancial Assets	8,030.6	2,782.8	34.7%	288.9	123.3	1,323.2	138.7	406.5	502.2
A311	Fixed assets	8,030.6	2,782.8	34.7%	288.9	123.3	1,323.2	138.7	406.5	502.2
A312	Change in inventories	-	-	0.0%	-	-	-	-	-	-
A313	Valuables	-	-	0.0%	-	-	-	-	-	-
A314	Nonproduced assets	-	-	0.0%	-	-	-	-	-	-
NLB	Net lending / borrowing (1-2+NOBz-31)	(6,980.7)	(2,916.0)		979.4	86.8	(1,265.5)	(1,011.8)	(824.1)	(880.8)
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):										
		-5.7%	-2.4%		0.8%	0.1%	-1.0%	-0.8%	-0.7%	-0.7%
A32	Net acquisition of financial assets	(4,422.1)	(3,197.8)	0.0%	979.4	86.8	(1,928.1)	278.4	(854.2)	(1,760.1)
A321	Domestic	(4,422.1)	(3,197.8)	0.0%	979.4	86.8	(1,928.1)	278.4	(854.2)	(1,760.1)
A322	Foreign	-	-	0.0%	-	-	-	-	-	-
A33	Net incurrence of liabilities	2,558.6	(281.8)	-11.0%	-	-	(662.5)	1,290.2	(30.2)	(879.3)
A331	Domestic creditors	1,317.9	1,315.2		-	-	-	1,304.0	-	11.2
A332	External creditors	1,240.7	(1,597.1)	-128.7%	-	-	(662.5)	(13.8)	(30.2)	(890.5)

Source: Ministry of Finance and Economic Management

Table 10: Statement of Government Operations excluding Donor Financing using GFS14 Classification, 2019 - 2027

STATEMENT OF GOVERNMENT Using GFS14 classification												
GFS Code	GFS Description	Actual 2019	Actual 2020	Actual 2021	Actual 2021 Jan - June	Revised Budget 2022	Actual 2022 Jan - Jun	Budget 2023	Forecast 2024	Forecast 2025	Forecast 2026	Forecast 2027
TRANSACTIONS AFFECTING NET WORTH:												
A1	Revenue	33,254.5	34,070.6	34,838.4	17,088.9	34,464.2	13,899.5	36,216.1	37,853.2	39,133.9	40,330.0	41,436.8
A11	Taxes	18,154.0	14,732.3	16,339.6	7,969.7	20,318.5	7,905.4	21,351.2	22,317.7	23,068.1	23,768.9	24,415.4
A111	Taxes on income, profits, and capital gains	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A112	Taxes on payroll and workforce	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A113	Taxes on property	606.2	495.5	467.7	202.2	486.1	165.0	513.6	539.2	559.5	578.4	595.9
A114	Taxes on goods and services	13,863.7	11,097.1	11,909.0	6,023.2	16,141.7	6,032.5	16,938.5	17,685.1	18,261.4	18,799.8	19,295.2
A115	Taxes on international trade and transactions	3,684.0	3,139.8	3,962.9	1,744.3	3,690.7	1,707.9	3,899.1	4,093.5	4,247.3	4,390.8	4,524.2
A116	Other taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A12	Social contributions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A132	Grants	0.0	2,631.2	3,067.2	2,488.7	1,414.1	534.4	1,414.1	1,414.1	1,414.1	1,414.1	1,414.1
A14	Other revenue	15,100.5	16,707.1	15,431.6	6,630.5	12,731.6	5,459.7	13,450.8	14,121.3	14,651.7	15,146.9	15,607.3
A2	Expense	25,580.1	32,086.0	30,971.7	13,853.3	33,969.9	15,098.8	34,891.4	35,605.3	36,554.8	36,523.8	36,486.9
A21	Compensation of employees	14,036.4	15,243.8	16,571.3	7,639.2	17,601.9	7,659.0	18,007.7	18,446.9	18,891.3	18,891.3	18,891.3
A22	Use of goods and services	5,642.6	6,754.9	6,948.0	2,908.2	8,606.1	3,473.0	8,804.6	9,019.3	9,236.6	9,236.6	9,236.6
A23	Consumption of fixed capital	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A24	Interest	941.9	861.0	905.4	281.6	713.8	334.7	868.5	752.5	862.5	831.5	794.7
A25	Subsidies	193.7	1,497.9	410.1	72.4	625.0	163.3	639.4	655.0	670.8	670.8	670.8
A26	Grants	2,396.5	4,534.6	3,392.5	1,709.3	3,629.0	1,634.6	3,712.6	3,803.2	3,894.8	3,894.8	3,894.8
A27	Social benefits	569.8	1,036.5	615.0	158.6	564.0	956.6	577.0	591.1	605.4	605.4	605.4
A28	Other expense	1,799.2	2,157.3	2,129.2	1,083.9	2,230.1	877.6	2,281.5	2,337.2	2,393.5	2,393.5	2,393.5
GOB	Gross operating balance (1-2+23+NOBz)	7,674.4	1,984.6	3,866.7	3,235.7	494.3	(1,199.3)	1,324.6	2,247.9	2,579.2	3,806.2	4,949.9
NOB	Net operating balance (1-2+NOBz)	7,674.4	1,984.6	3,866.7	3,235.7	494.3	(1,199.3)	1,324.6	2,247.9	2,579.2	3,806.2	4,949.9
TRANSACTIONS IN NONFINANCIAL ASSETS:												
A31	Net investment in nonfinancial assets	1,000.6	1,626.5	1,387.1	404.6	3,196.2	799.9	3,269.9	3,349.7	3,430.3	3,430.3	3,430.3
A311	Fixed assets	1,000.6	1,626.5	1,387.1	404.6	3,196.2	799.9	3,269.9	3,349.7	3,430.3	3,430.3	3,430.3
A312	Inventories	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A313	Valuables	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A314	Nonproduced assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
NLB	Net lending / borrowing (1-2+NOBz-31)	6,673.8	358.1	2,479.6	2,831.1	(2,701.9)	(1,999.2)	(1,945.3)	(1,101.8)	(851.2)	375.8	1,519.5
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):												
A32	Net acquisition of financial assets	3,541.0	1,683.7	(546.8)	(544.5)	(4,422.1)	(2,281.0)	(5,293.7)	(3,776.8)	(3,719.4)	(2,862.1)	(1,557.9)
A321	Domestic	3,541.0	1,683.7	(546.8)	(544.5)	(4,422.1)	(2,281.0)	(5,293.7)	(3,776.8)	(3,719.4)	(2,862.1)	(1,557.9)
A3212	Currency and deposits	1,541.0	58.1	(546.8)	(544.5)	(2,963.9)	(2,281.0)	(3,835.5)	(3,776.8)	(3,719.4)	(2,862.1)	(1,557.9)
A3214	Loans	2,000.0	1,625.6	0.0	0.0	(1,458.2)	0.0	-1,458.2	0.0	0.0	0.0	0.0
A322	External	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A33	Net incurrence of liabilities	(3,132.9)	1,325.7	(3,026.4)	(3,375.6)	(1,720.3)	(281.8)	(3,348.4)	(2,675.0)	(2,868.2)	(3,237.9)	(3,077.5)
A331	Domestic	(672.9)	2,448.2	137.3	(908.6)	1,317.9	1,315.2	(1,510.0)	(815.1)	(946.0)	(1,008.2)	(22.4)
A332	External	(2,460.0)	(1,122.6)	(3,163.7)	(2,467.0)	(3,038.2)	(1,597.1)	(1,838.4)	(1,859.9)	(1,922.3)	(2,229.8)	(3,055.0)

Source: Ministry of Finance and Economic Management

Table 11: Statement of Government Operations funded by donors through the central treasury account, in GFS14 Classification, 2019 – 2027

STATEMENT OF DONOR OPERATIONS Using GFS14 classification											
GFS Description	Actual 2019	Actual 2020	Actual 2021	Actual Jan - June 2021	Revised Budget 2022	Actual Jan - June 2022	Budget 2023	Forecast 2024	Forecast 2025	Forecast 2026	Forecast 2027
TRANSACTIONS AFFECTING NET WORTH:											
Revenue	11,676.5	5,512.1	10,328.2	4,183.6	11,339.0	3,061.3	8,339.0	9,839.0	9,089.0	9,464.0	9,276.5
Taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
<i>Taxes on income, profits, and capital gains</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>Taxes on payroll and workforce</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>Taxes on property</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>Taxes on goods and services</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>Taxes on international trade and transactions</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>Other taxes</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
Social contributions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Grants	11,676.5	5,512.1	10,328.2	4,183.6	11,339.0	3,061.3	8,339.0	9,839.0	9,089.0	9,464.0	9,276.5
Other revenue	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Expense	4,360.9	3,693.0	4,938.3	1,883.1	10,783.5	1,429.8	8,339.0	9,839.0	9,089.0	9,464.0	9,276.5
Compensation of employees	233.7	227.5	202.5	106.6	655.7	107.0	547.5	645.9	596.7	621.3	609.0
Use of goods and services	3,955.5	3,059.3	3,662.4	1,483.0	8,228.2	1,320.1	6,205.9	7,322.2	6,764.0	7,043.1	6,903.6
Consumption of fixed capital	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Interest	0.0	0.0	0.0	0.0	9.0	0.0	7.5	8.8	8.2	8.5	8.3
Subsidies	7.3	11.7	17.4	8.0	18.3	4.4	14.7	17.3	16.0	16.7	16.3
Grants	117.6	111.5	1,157.5	392.4	1,100.7	(15.1)	919.1	1,084.4	1,001.7	1,043.1	1,022.4
Social benefits	46.2	278.5	(113.9)	(115.1)	759.8	13.1	634.4	748.5	691.5	720.0	705.7
Other expense	0.6	4.5	12.4	8.2	11.9	0.4	9.9	11.7	10.8	11.3	11.1
Gross operating balance (1-2+23+NOBz)	7,315.6	1,819.1	5,390.0	2,300.5	555.5	1,631.4	0.0	0.0	0.0	0.0	0.0
Net operating balance (1-2+NOBz)	7,315.6	1,819.1	5,390.0	2,300.5	555.5	1,631.4	0.0	0.0	0.0	0.0	0.0
TRANSACTIONS IN NONFINANCIAL ASSETS:											
Net investment in nonfinancial assets	10,968.7	4,243.9	4,990.6	1,197.2	4,834.4	1,982.9	4,278.9	2,819.2	1,700.2	440.0	1,378.9
Fixed assets	10,968.7	4,243.9	4,990.6	1,197.2	4,834.4	1,982.9	4,278.9	2,819.2	1,700.2	440.0	1,378.9
Inventories	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Valuables	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Nonproduced assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net lending / borrowing (1-2+NOBz-31)	(3,653.1)	(2,424.8)	399.4	1,103.3	(4,278.9)	(351.4)	(4,278.9)	(2,819.2)	(1,700.2)	(440.0)	(1,378.9)
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):											
Net acquisition of financial assets	3,746.7	(1,117.9)	399.4	1,103.3	0.0	(351.4)	0.0	0.0	0.0	0.0	0.0
Domestic	3,746.7	(1,117.9)	399.4	1,103.3	0.0	(351.4)	0.0	0.0	0.0	0.0	0.0
<i>Currency and deposits</i>	<i>3,746.7</i>	<i>(1,117.9)</i>	<i>399.4</i>	<i>1,103.3</i>	<i>0.0</i>	<i>(351.4)</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>Loans</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
External	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net incurrence of liabilities	7,399.8	1,306.9	0.0	0.0	4,278.9	0.0	4,278.9	2,819.2	1,700.2	440.0	1,378.9
Domestic	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
External	7,399.8	1,306.9	0.0	0.0	4,278.9	0.0	4,278.9	2,819.2	1,700.2	440.0	1,378.9

Source: Ministry of Finance and Economic Management

Table 12: Statement of Government Operations including donor financing (consolidated) using GFS14 Classification, 2019 – 2027

STATEMENT OF CONSOLIDATED Using GFS14 classification												
GFS Code	GFS Description	Actual 2019	Actual 2020	Actual 2021	Actual Jan - June 2021	Revised Budget 2022	Actual Jan - June 2022	Budget 2023	Forecast 2024	Forecast 2025	Forecast 2026	Forecast 2027
TRANSACTIONS AFFECTING NET WORTH:												
A1	Revenue	44,931.0	39,582.7	45,166.6	21,272.6	45,803.2	16,395.4	44,555.0	47,692.1	48,222.9	49,793.9	50,713.3
A11	Taxes	18,154.0	14,732.3	16,339.6	7,969.7	20,318.5	7,905.4	21,351.2	22,317.7	23,068.1	23,768.9	24,415.4
A111	Taxes on income, profits, and capital gains	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A112	Taxes on payroll and workforce	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A113	Taxes on property	606.2	495.5	467.7	202.2	486.1	165.0	513.6	539.2	559.5	578.4	595.9
A114	Taxes on goods and services	13,863.7	11,097.1	11,909.0	6,023.2	16,141.7	6,032.5	16,938.5	17,685.1	18,261.4	18,799.8	19,295.2
A115	Taxes on international trade and transactions	3,684.0	3,139.8	3,962.9	1,744.3	3,690.7	1,707.9	3,899.1	4,093.5	4,247.3	4,390.8	4,524.2
A116	Other taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A12	Social contributions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A13	Grants	11,676.5	8,143.3	13,395.5	6,672.3	12,753.1	3,030.3	9,753.1	11,253.1	10,503.1	10,878.1	10,690.6
A14	Other revenue	15,100.5	16,707.1	15,431.6	6,630.5	12,731.6	5,459.7	13,450.8	14,121.3	14,651.7	15,146.9	15,607.3
A2	Expense	29,941.0	35,779.0	35,910.0	15,736.3	44,753.4	16,528.6	43,230.4	45,444.2	45,643.7	45,987.8	45,763.4
A21	Compensation of employees	14,270.1	15,471.3	16,773.9	7,745.8	18,257.6	7,766.0	18,555.2	19,092.9	19,488.0	19,512.6	19,500.3
A22	Use of goods and services	9,598.1	9,814.3	10,610.4	4,391.2	16,834.3	4,793.1	15,010.4	16,341.5	16,000.6	16,279.7	16,140.1
A23	Consumption of fixed capital	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A24	Interest	941.9	861.0	905.4	281.6	722.7	334.7	876.0	761.4	870.7	840.0	803.0
A25	Subsidies	201.0	1,509.6	427.6	80.3	643.3	167.7	654.1	672.3	686.8	687.5	687.1
A26	Grants	2,514.1	4,646.1	4,550.1	2,101.7	4,729.7	1,619.5	4,631.7	4,887.6	4,896.6	4,937.9	4,917.2
A27	Social benefits	616.0	1,315.0	501.1	43.5	1,323.8	969.7	1,211.5	1,339.6	1,296.8	1,325.4	1,311.1
A28	Other expense	1,799.9	2,161.8	2,141.6	1,092.1	2,242.0	878.0	2,291.5	2,348.9	2,404.3	2,404.7	2,404.5
GOB	Gross operating balance (1-2+23+NOBz)	14,990.0	3,803.7	9,256.7	5,536.2	1,049.8	(133.2)	1,324.6	2,247.9	2,579.2	3,806.2	4,949.9
NOB	Net operating balance (1-2+NOBz)	14,990.0	3,803.7	9,256.7	5,536.2	1,049.8	(133.2)	1,324.6	2,247.9	2,579.2	3,806.2	4,949.9
TRANSACTIONS IN NONFINANCIAL ASSETS:												
A31	Net investment in nonfinancial assets	11,969.2	5,870.4	6,377.7	1,601.8	8,030.6	2,782.8	7,548.8	6,168.8	5,130.6	3,870.3	4,809.2
A311	Fixed assets	11,969.2	5,870.4	6,377.7	1,601.8	8,030.6	2,782.8	7,548.8	6,168.8	5,130.6	3,870.3	4,809.2
A312	Inventories	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A313	Valuables	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A314	Nonproduced assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
NLB	Net lending / borrowing (1-2+NOBz-31)	3,020.7	(2,066.7)	2,879.0	3,934.4	-6,980.7	(2,916.0)	(6,224.1)	(3,920.9)	(2,551.4)	(64.1)	140.7
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):												
A32	Net acquisition of financial assets	7,287.7	565.9	(147.4)	558.8	(4,422.1)	(3,197.8)	(5,293.7)	(3,776.8)	(3,719.4)	(2,862.1)	(1,557.9)
A321	Domestic	7,287.7	565.9	(147.4)	558.8	(4,422.1)	(3,197.8)	(5,293.7)	(3,776.8)	(3,719.4)	(2,862.1)	(1,557.9)
A3212	Currency and deposits	5,287.7	(1,059.8)	(147.4)	558.8	(2,963.9)	(3,197.8)	(3,835.5)	(3,776.8)	(3,719.4)	(2,862.1)	(1,557.9)
A3214	Loans	2,000.0	1,625.6	0.0	0.0	(1,458.2)	0.0	-1,458.2	0.0	0.0	0.0	0.0
A322	External	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A33	Net incurrence of liabilities	4,266.9	2,632.6	(3,026.4)	(3,375.6)	2,558.6	(281.8)	930.4	144.1	(1,168.0)	(2,798.0)	(1,698.6)
A331	Domestic	(672.9)	2,448.2	137.3	(908.6)	1,317.9	1,315.2	(1,510.0)	(815.1)	(946.0)	(1,008.2)	(22.4)
A332	External	4,939.8	184.4	(3,163.7)	(2,467.0)	1,240.7	(1,597.1)	2,440.4	959.2	(222.0)	(1,789.8)	(1,676.2)

Source: Ministry of Finance and Economic Management